

HOUSE BILL No. 1259

DIGEST OF INTRODUCED BILL

Citations Affected: IC 4-23-7.3; IC 6-3.6; IC 36-4-3.

Synopsis: Local income tax. Requires state agencies and political subdivisions to cooperate with the state GIS officer in preparing a statewide base map. Requires a county auditor to submit certain information to the state GIS officer concerning an annexation or disannexation. Specifies procedures for the imposition of local income taxes and distribution of local income tax revenue. Provides that, for counties or municipalities that fail to adopt an ordinance to renew an existing expenditure tax rate, the expenditure tax rate for the county or municipality shall be the minimum tax rate necessary for existing debt service. Allows an adopting body to adopt a tax rate to provide distributions to school corporations as a component of the tax rate for general purpose revenue. Provides that a county's total expenditure tax rate expires on December 31, 2029, and on December 31 of every fourth calendar year thereafter. Provides that the county may determine an allocation method for revenue raised from a tax rate for fire protection or emergency medical services. Provides that the county and certain township fire departments must receive an allocation of revenue raised from a tax rate for fire protection or emergency medical services. Authorizes cities and towns with a population of at least 3,500 that have adopted a 1.2% municipal local income tax rate to impose an additional local income tax rate that does not exceed the county's unused rate capacity for general purpose revenue, if any. Provides a formula for the distribution of revenue from the local income tax rate imposed by a county for certain small cities and towns. Specifies procedures for determining population for purposes of a municipal local income tax rate. Requires each county and municipality to report

(Continued next page)

Effective: July 1, 2026; July 1, 2027; January 1, 2028.

Thompson, Clere, Snow

January 5, 2026, read first time and referred to Committee on Ways and Means.



Digest Continued

to the department of local government finance the total amount of the county's or municipality's debt service obligations payable from local income tax revenues that will be due in the ensuing year.



Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

HOUSE BILL No. 1259

A BILL FOR AN ACT to amend the Indiana Code concerning taxation.

Be it enacted by the General Assembly of the State of Indiana:

- 1 SECTION 1. IC 4-23-7.3-5.5 IS ADDED TO THE INDIANA
2 CODE AS A **NEW** SECTION TO READ AS FOLLOWS
3 [EFFECTIVE JULY 1, 2026]: **Sec. 5.5. As used in this chapter,**
4 **"governmental boundary units" includes:**
5 **(1) the geographic boundaries of a political subdivision;**
6 **(2) the geographic boundaries of a taxing district (as defined**
7 **by IC 6-1.1-1-20); and**
8 **(3) any geographic boundaries related to the operation of the**
9 **statewide 911 system under IC 36-8-16.7.**
10 SECTION 2. IC 4-23-7.3-16, AS AMENDED BY P.L.134-2021,
11 SECTION 8, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
12 JULY 1, 2026]: Sec. 16. With money from the fund, the state GIS
13 officer, through the data center, the IGIC, and the other organizations,
14 shall do the following:
15 (1) Ensure that there are adequate depositories of all GIS data and



framework data obtained by a state agency.

(2) Acquire, publish, store, and distribute GIS data and framework data through the computer gateway administered under IC 4-13.1-2-2(a)(6) by the office of technology and through the state data center. The state GIS officer may also provide access through the IGIC and other entities as directed by the state GIS officer.

(3) Integrate GIS data and framework data developed and maintained by state agencies and political subdivisions into the statewide base map. **State agencies and political subdivisions shall cooperate and participate as requested by the state GIS officer to carry out this subdivision.**

(4) Maintain a state historical archive of GIS data, framework data, and electronic maps.

(5) Except as otherwise provided in this chapter, provide public access to GIS data and framework data in locations throughout Indiana.

(6) Provide assistance to state agencies and political subdivisions regarding public access to GIS data and framework data so that information is available to the public while confidentiality is protected for certain data from electronic maps.

(7) Develop and maintain statewide framework data layers associated with a statewide base map or electronic map.

(8) Publish and distribute the state GIS data standards and the statewide data integration plan adopted under section 14(2) of this chapter.

(9) Subject to section 20 of this chapter, make GIS data, framework data, and electronic maps available for use by the Indiana Business Research Center.

SECTION 3. IC 4-23-7.3-20, AS ADDED BY P.L.198-2007, SECTION 2, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 20. (a) Except as provided in subsections (b), (c), and (d), a political subdivision maintains the right to control the sale, exchange, and distribution of any GIS data or framework data provided by the political subdivision to the state through a data exchange agreement entered into under this chapter.

(b) A political subdivision may agree, through a provision in a data exchange agreement, to allow the sale, exchange, or distribution of GIS data or framework data provided to the state.

(c) Subsection (a) does not apply to data that is otherwise required by state or federal law to be provided by a political subdivision to the state or federal government.



(d) ~~As a condition in a data exchange agreement for providing state GIS data or framework data to a political subdivision,~~ The state GIS officer may require the political subdivision to follow the state GIS data standards and the statewide data integration plan when the political subdivision makes use of the GIS data or framework data as provided by the state.

SECTION 4. IC 6-3.6-2-2, AS AMENDED BY P.L.68-2025, SECTION 95, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JANUARY 1, 2028]: Sec. 2. "Adjusted gross income" has the meaning set forth in IC 6-3-1-3.5. However:

(1) in the case of a resident local taxpayer of Perry County, **or a resident of a municipality located in Perry County in the case of a local income tax imposed under IC 6-3.6-6-22 or IC 6-3.6-6-22.5**, the term does not include adjusted gross income described in IC 6-3.6-8-7; and

(2) in the case of a local taxpayer described in section 13(3) of this chapter, the term includes only that part of the individual's total income that:

(A) is apportioned to Indiana under IC 6-3-2-2.7 or IC 6-3-2-3.2; and

(B) is paid to the individual as compensation for services rendered in the county (or municipality in the case of a local income tax imposed under IC 6-3.6-6-22) as a team member or race team member.

SECTION 5. IC 6-3.6-2-13, AS AMENDED BY P.L.68-2025, SECTION 100, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JANUARY 1, 2028]: Sec. 13. "Local taxpayer" means any of the following:

(1) As it relates to a particular county (or municipality in the case of a local income tax imposed under IC 6-3.6-6-22), an individual who resides in that county (or municipality in the case of a local income tax imposed under IC 6-3.6-6-22) on the date specified in IC 6-3.6-8-3.

(2) As it relates to a particular county, **and except for an individual described in subdivision (3)**, an individual who maintains the taxpayer's principal place of business or employment in that county on the date specified in IC 6-3.6-8-3 and who does not reside on that same date in another county in Indiana in which a tax under this article is in effect. However, for purposes of a local income tax imposed **by a county under IC 6-3.6-6-2(b)(4) or imposed** by a municipality under IC 6-3.6-6-22, the term does not include an individual described



in this subdivision.

(3) As it relates to a particular county **(or municipality in the case of a local income tax imposed under IC 6-3.6-6-22 or IC 6-3.6-6-22.5), and only for purposes of a rate imposed by a county under 6-3.6-6-2(b)(3);** the term includes an individual who:

(A) has income apportioned to Indiana as:

(i) a team member under IC 6-3-2-2.7; or

(ii) a race team member under IC 6-3-2-3.2;

for services rendered in the county **(or municipality in the case of a local income tax imposed under IC 6-3.6-6-22 or IC 6-3.6-6-22.5);** and

(B) is not described in subdivision (1). ~~or (2).~~

SECTION 6. IC 6-3.6-2-15, AS AMENDED BY P.L.68-2025, SECTION 101, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JANUARY 1, 2028]: Sec. 15. "Resident local taxpayer", as it relates to a particular county (or municipality in the case of a local income tax imposed under IC 6-3.6-6-22), means any local taxpayer who resides in that county (or municipality in the case of a local income tax imposed under IC 6-3.6-6-22) on the date specified in IC 6-3.6-8-3. **For purposes of a local income tax rate imposed by a county under IC 6-3.6-6-2(b)(4), the term means an individual who resides in the part of the county for which the county may impose a rate under IC 6-3.6-6-2(b)(4) on the date specified in IC 6-3.6-8-3.**

SECTION 7. IC 6-3.6-2-16.5 IS ADDED TO THE INDIANA CODE AS A NEW SECTION TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 16.5. "State GIS officer" has the meaning set forth in IC 4-23-7.3-10.

SECTION 8. IC 6-3.6-3-1, AS AMENDED BY P.L.68-2025, SECTION 102, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2027]: Sec. 1. (a) The fiscal body of the county is the adopting body for a county.

(b) The fiscal body of the city or town is the adopting body for a city or town for purposes of adopting a municipal rate under IC 6-3.6-6-22 **and IC 6-3.6-6-22.5.**

SECTION 9. IC 6-3.6-3-2, AS AMENDED BY P.L.159-2020, SECTION 54, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 2. (a) An adopting body or, if authorized by this article, another governmental entity that is not an adopting body, may take an action under this article only by ordinance, unless this article permits the action to be taken by resolution.

(b) The department of local government finance, in consultation



with the department of state revenue, may make electronically available uniform notices, ordinances, and resolutions that an adopting body or other governmental entity may use to take an action under this article. An adopting body or other governmental entity may submit a proposed notice, ordinance, or resolution to the department of local government finance for review not later than thirty (30) days prior to the date that the adopting body or governing body intends to submit the notice, adopting ordinance or resolution, and vote results on an ordinance or resolution under subsection (d). If the adopting body or other governmental entity wishes to submit the proposed notice, ordinance, or resolution to the department of local government finance for review, the adopting body or other governmental entity shall submit the proposed notice, ordinance, or resolution to the department of local government finance on the prescribed forms. The department of local government finance shall provide to the submitting entity a determination of the appropriateness of the proposed notice, ordinance, or resolution, including recommended modifications, within thirty (30) days of receiving the proposed notice, ordinance, or resolution.

(c) An ordinance or resolution adopted under this article must comply with the notice and hearing requirements set forth in IC 5-3-1.

(d) The department of local government finance shall prescribe the procedures to be used by the adopting body or governmental entity for submitting to the department the notice, the adopting ordinance or resolution, and the vote results on an ordinance or resolution. The department of local government finance shall notify the submitting entity within thirty (30) days after submission whether the department has received the necessary information required by the department. A final action taken by an adopting body or governmental entity under this article to impose a new tax or amend an existing tax is not effective until the department of local government finance notifies the adopting body or governmental entity that it has received the required information from the submitting entity.

(e) Beginning after June 30, 2027, an adopting body for a county shall provide notice of an adopting ordinance to impose a local income tax under IC 6-3.6-6-2(b)(1), including the tax rate and the vote results on the ordinance, to each municipality (as defined in IC 6-3.6-6-22(a)) located in the county not later than two (2) business days following the meeting at which the vote was taken.

(f) Not later than July 1 each year, the county auditor shall certify to the department of local government finance and to the state GIS officer which taxing units impose a tax rate in each taxing district in the county.



SECTION 10. IC 6-3.6-3-2.5 IS ADDED TO THE INDIANA CODE AS A NEW SECTION TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2027]: **Sec. 2.5. (a) As used in this section, "debt service obligations" refers to:**

(1) the principal and interest payable during a calendar year on bonds; and

(2) lease rental payments payable during a calendar year on leases;

of a county, city, or town payable from local income taxes.

(b) Before August 1 of each calendar year, the fiscal officer of each county, city, and town shall provide the department of local government finance with the:

(1) total amount of the county's, city's, or town's debt service obligations payable from local income tax revenues that will be due in the ensuing year; and

(2) total local income tax rate in effect in the current calendar year.

(c) The department of local government finance shall annually determine whether each county, city, or town with debt service obligations due in the ensuing year has timely submitted to the department of local government finance the information required under section 2(d) of this chapter.

SECTION 11. IC 6-3.6-3-3.5 IS ADDED TO THE INDIANA CODE AS A NEW SECTION TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2027]: **Sec. 3.5. (a) As used in this section, "municipality" has the meaning set forth in IC 6-3.6-6-22(a).**

(b) An ordinance adopted by a municipality under IC 6-3.6-6-22.5 to impose a tax rate takes effect as provided in this section.

(c) An ordinance adopted on or before October 20 of a calendar year shall take effect on January 1 of the calendar year that immediately succeeds the year in which the ordinance is adopted.

(d) An ordinance adopted after October 20 of a calendar year, but before January 20 of the immediately succeeding calendar year, shall take effect on January 1 of the second succeeding calendar year.

SECTION 12. IC 6-3.6-3-4, AS AMENDED BY P.L.68-2025, SECTION 105, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2027]: **Sec. 4. (a) Except for a tax rate that has an expiration date, and except as provided in section 3(f) of this chapter (before its expiration), a tax rate remains in effect until the effective date of an ordinance that increases, decreases, or rescinds that tax rate.**



(b) A tax rate may not be changed more than once each year under this article.

(c) A local income tax expenditure tax rate that is imposed in a county under IC 6-3.6-6 continues in effect after December 31, 2027, only if the adopting body adopts an ordinance to renew the expenditure tax rate beginning January 1, 2028. **However, if there are bonds or leases outstanding that are payable from a tax imposed under IC 6-3.6-6 and the adopting body fails to adopt an ordinance to continue the expenditure tax rate under this subsection, the expenditure tax rate for the county beginning January 1, 2028, shall be the minimum tax rate necessary to produce one and twenty-five hundredths (1.25) times the sum of the:**

(1) highest annual outstanding debt service;

(2) highest annual lease payments; and

(3) any amount required under the agreements for the bonds or leases to be deposited in a sinking fund or other reserve; but only until the maturity date of those debt obligations. An ordinance under this subsection must be adopted by the adopting body on or before October 1, 2027, as set forth in section 3(b)(1) of this chapter. However, this subsection shall not be construed to prohibit an adopting body that fails to adopt an ordinance to continue an expenditure tax rate after December 31, 2027, from adopting an ordinance under this article to impose, renew, or modify an expenditure tax rate under IC 6-3.6-6 beginning January 1, 2029, or any year thereafter.

SECTION 13. IC 6-3.6-3-12 IS ADDED TO THE INDIANA CODE AS A NEW SECTION TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2027]: **Sec. 12. (a) This section applies to an ordinance adopted under this article after June 30, 2027.**

(b) This subsection applies only to an ordinance adopted between January 1 and August 2 of a calendar year or October 2 and December 31 of a calendar year. If an adopting body adopts an ordinance to impose a local income tax under:

(1) IC 6-3.6-2(b)(1) through IC 6-3.6-2(b)(4);

(2) IC 6-3.6-6-22;

(3) IC 6-3.6-6-22.5; or

(4) IC 6-3.6-7;

that exceeds the applicable maximum tax rate or applicable maximum aggregate tax rate allowable pursuant to IC 6-3.6-6-2, IC 6-3.6-6-22, IC 6-3.6-6-22.5, or IC 6-3.6-7, the department of local government finance shall notify the adopting body and county fiscal officer or municipal fiscal officer, as applicable, not later



1 than thirty (30) days after the adopting body submits the ordinance
 2 and information required under IC 6-3.6-6-2 that one (1) or more
 3 tax rates exceed the maximum allowable tax rate.

4 (c) This subsection applies only to an ordinance adopted
 5 between January 1 and August 2 of a calendar year or October 2
 6 and December 31 of a calendar year. Not later than thirty (30) days
 7 after receiving a notification under subsection (b) from the
 8 department of local government finance, the adopting body may
 9 adopt an ordinance correcting the applicable tax rate or tax rates.
 10 The following apply to an ordinance adopted under this subsection:

11 (1) Any statutory requirements for an ordinance that
 12 otherwise apply to an ordinance adopted under this article to
 13 impose a local income tax rate also apply to an ordinance
 14 adopted under this subsection.

15 (2) If the tax rate or tax rates adopted in an ordinance
 16 adopted under this subsection still exceed a maximum
 17 allowable tax rate or maximum allowable aggregate tax rate,
 18 the ordinance adopted under this subsection shall be
 19 considered void and treated as if the adopting body did not
 20 adopt any additional ordinance under this subsection.

21 (3) An ordinance adopted under this subsection has the same
 22 effective date as the initial ordinance described in subsection
 23 (b).

24 (d) If an adopting body adopts an ordinance between August 2
 25 and October 2 of a calendar year to impose a local income tax that
 26 exceeds a maximum allowable tax rate or rates, fails to adopt an
 27 ordinance correcting the applicable tax rate or tax rates under
 28 subsection (c), or, in the case of an ordinance described in
 29 subsection (c)(2), the tax rate or rates will be reduced according to
 30 the following:

31 (1) If a tax rate or tax rates imposed pursuant to
 32 IC 6-3.6-6-2(b)(1) through IC 6-3.6-6-2(b)(4), IC 6-3.6-6-22,
 33 IC 6-3.6-6-22.5, or IC 6-3.6-7 exceed the maximum allowable
 34 rate specified in IC 6-3.6-6-2(b)(1) through IC 6-3.6-6-2(b)(4),
 35 IC 6-3.6-6-22, IC 6-3.6-6-22.5, or IC 6-3.6-7, the tax rate or
 36 tax rates that exceed the maximum allowable rate shall be
 37 reduced to the maximum allowable rate without further
 38 action by the adopting body.

39 (2) If the tax rates imposed pursuant to IC 6-3.6-6-2(b)(1)
 40 through IC 6-3.6-6-2(b)(4) exceed the maximum allowable
 41 aggregate rate of two and nine-tenths percent (2.9%) in
 42 IC 6-3.6-6-2(b) or if the tax rates imposed pursuant to



1 IC 6-3.6-6-2(b)(1) through IC 6-3.6-6-2(b)(3) exceed the
 2 maximum allowable aggregate rate in IC 6-3.6-6-2(c), the tax
 3 rates shall be reduced to the applicable maximum allowable
 4 rate under IC 6-3.6-6-2(b) in the following order:

5 (A) IC 6-3.6-6-2(b)(1);

6 (B) IC 6-3.6-6-2(b)(4), if applicable;

7 (C) IC 6-3.6-6-2(b)(2); and

8 (D) IC 6-3.6-6-2(b)(3).

9 (3) If the tax rate or rates exceed both the maximum allowable
 10 rate specified in IC 6-3.6-6-2(b)(1) through IC 6-3.6-6-2(b)(4),
 11 IC 6-3.6-6-22, IC 6-3.6-6-22.5, or IC 6-3.6-7 and the maximum
 12 allowable aggregate tax rate in IC 6-3.6-6-2(b) or
 13 IC 6-3.6-6-2(c), the tax rates shall first be reduced in the
 14 manner set forth in subdivision (1) before application of the
 15 reduction manner set forth in subdivision (2).

16 (4) Any tax rate reduction under this subsection has the same
 17 effective date as the initial ordinance described in subsection
 18 (b).

19 SECTION 14. IC 6-3.6-4-1, AS AMENDED BY P.L.68-2025,
 20 SECTION 113, IS AMENDED TO READ AS FOLLOWS
 21 [EFFECTIVE JANUARY 1, 2028]: Sec. 1. (a) Except as otherwise
 22 provided in IC 6-3.6-6-22 and **IC 6-3.6-6-22.5**, a tax is imposed on the
 23 adjusted gross income of local taxpayers at a tax rate that is a sum of
 24 the tax rates imposed by the county's adopting body and in effect in the
 25 county.

26 (b) Except as otherwise provided in **IC 6-3.6-6-2**, IC 6-3.6-6-22,
 27 and **IC 6-3.6-6-22.5**, the combined tax rates imposed under IC 6-3.6-5
 28 (before its expiration), IC 6-3.6-6, and IC 6-3.6-7 constitute the tax
 29 imposed on the adjusted gross income of local taxpayers in the county.

30 (c) In addition to the tax imposed in the county under subsection (a),
 31 a tax is imposed on the adjusted gross income of local taxpayers in a
 32 municipality at a tax rate that is imposed by the municipality under
 33 IC 6-3.6-6-22 and **IC 6-3.6-6-22.5**, and in effect in the municipality.

34 SECTION 15. IC 6-3.6-6-2, AS AMENDED BY P.L.68-2025,
 35 SECTION 118, IS AMENDED TO READ AS FOLLOWS
 36 [EFFECTIVE JULY 1, 2027]: Sec. 2. (a) This section applies to all
 37 counties.

38 (b) The adopting body may by ordinance and subject to subsections
 39 (c) through (e) impose one (1) or more of the following component
 40 rates not to exceed a total expenditure tax rate under this chapter of two
 41 and nine-tenths percent (2.9%) on the adjusted gross income of
 42 taxpayers who reside in the county, **or, in the case of a team member**



1 **or race team member described in IC 6-3.6-2-13(3), on the adjusted**
 2 **gross income earned as a team member or race team member in**
 3 **the county:**

4 (1) A tax rate not to exceed one and two-tenths percent (1.2%) for
 5 general purpose revenue for county services (as provided in
 6 section 4 of this chapter), subject to subsection (c).

7 (2) A tax rate not to exceed four-tenths of one percent (0.4%) for
 8 providers of fire protection ~~and or~~ emergency medical services
 9 located within the county (as provided in section 4.3 of this
 10 chapter), subject to subsection (c).

11 (3) A tax rate not to exceed two-tenths of one percent (0.2%) for
 12 general purpose revenue for distribution to nonmunicipal civil
 13 taxing units (excluding fire protection districts) located within the
 14 county (as provided in section 4.5 of this chapter), subject to
 15 subsection (c).

16 (4) A tax rate not to exceed one and two-tenths percent (1.2%) for
 17 general purpose revenue for municipal services for distribution to
 18 municipalities located within the county:

19 (A) that are not eligible to adopt a municipal tax rate under
 20 section 22 of this chapter; or

21 (B) that, **in the case of a county local income tax rate and**
 22 **distribution of revenue from the tax rate in the years**
 23 **before January 1, 2033,** have made an election under section
 24 23(b)(3) of this chapter to be treated as such.

25 **The adopting body shall identify in the ordinance each taxing**
 26 **district in which each tax rate is imposed.**

27 (c) The combined component rates imposed by an adopting body
 28 under subsection (b)(1) through (b)(3) shall not exceed one and
 29 seven-tenths percent (1.7%).

30 (d) **Except as provided in section 24 of this chapter,** a tax rate
 31 adopted under subsection (b)(4) may only be imposed on taxpayers
 32 who do not reside in a municipality that is eligible to adopt a municipal
 33 tax rate under section 22 of this chapter. **In the case of a team**
 34 **member or race team member described in IC 6-3.6-2-13(3), a tax**
 35 **rate adopted under subsection (b)(4) may only be imposed on**
 36 **services performed as a team member or race team member at a**
 37 **location if the county could impose the tax rate on an individual**
 38 **residing at that location.**

39 (e) ~~Beginning after December 31, 2030,~~ A tax rate imposed under
 40 subsection (b) ~~shall expire~~ **expires** on December 31, **2029, and on**
 41 **December 31** of ~~each every fourth~~ **every fourth** calendar year **thereafter.** An
 42 adopting body wishing to continue, increase, or decrease a tax rate in



for the succeeding four (4) year cycle must pass an ordinance to readopt a tax rate in accordance with IC 6-3.6-3-3. **However, if there are bonds, leases, or other obligations payable from a tax imposed under subsection (b) that remain outstanding and the adopting body fails to adopt an ordinance to continue the expenditure tax rate under this subsection, the expenditure tax rate for the county for the succeeding four (4) year cycle, or until the maturity date of those debt obligations, whichever is sooner, shall be the minimum tax rate necessary to produce one and twenty-five hundredths (1.25) times the sum of the:**

- (1) highest annual outstanding debt service;**
- (2) highest annual lease payments; and**
- (3) any amount required under the agreements for the bonds or leases to be deposited in a sinking fund or other reserve;**

for each year of the four (4) year cycle. Subject to IC 6-3.6-4-3, an adopting body wishing to increase or decrease a tax rate during a four (4) year cycle must pass an ordinance to increase or decrease the tax rate in accordance with IC 6-3.6-3-3. This subsection applies regardless of whether there is a modification in the tax rate or the component rates or the rates are unchanged from the previous year.

SECTION 16. IC 6-3.6-6-2.2 IS ADDED TO THE INDIANA CODE AS A NEW SECTION TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2027]: **Sec. 2.2. (a) As used in this section, "ADM" has the meaning set forth in IC 20-43-1-6.**

(b) Subject to section 2(b)(1) of this chapter, an adopting body may, by ordinance, impose a component tax rate that is a part of the county's total general purpose rate imposed under section 2(b)(1) of this chapter for the purpose of providing distributions to school corporations with territory in the county. A component tax rate imposed under this section:

- (1) may not exceed twelve hundredths percent (0.12%) in calendar year 2028;**
- (2) may not exceed nine hundredths percent (0.09%) in calendar year 2029;**
- (3) may not exceed six hundredths percent (0.06%) in calendar year 2030; and**
- (4) may not exceed three hundredths percent (0.03%) in calendar year 2031.**

(c) Revenue received from a component tax rate imposed under section must be distributed according to the following formula:

STEP ONE: Determine, for each school corporation with territory in the county, the school corporation's certified fall



ADM count in the calendar year immediately preceding the calendar year in which the distribution is made, excluding the number of students who:

- (A) receive more than fifty percent (50%) virtual instruction; or
- (B) attend the school corporation but reside in a different county.

STEP TWO: Determine the aggregate sum of all the STEP ONE results.

STEP THREE: For each school corporation, divide the:

- (A) STEP ONE result for the school corporation; by
- (B) STEP TWO result.

SECTION 17. IC 6-3.6-6-3, AS AMENDED BY P.L.137-2024, SECTION 9, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 3. (a) Revenue raised from a tax imposed under this chapter shall be treated as follows:

(1) To make the following distributions:

(A) If an ordinance described in section 2.5 of this chapter is in effect in a county, to make a distribution to the county equal to the amount of revenue generated by the rate imposed under section 2.5 of this chapter.

(B) If an ordinance described in section 2.6 of this chapter is in effect in a county, to make a distribution to the county equal to the amount of revenue generated by the rate imposed under section 2.6 of this chapter.

(C) If an ordinance described in section 2.7 of this chapter is in effect in a county, to make a distribution to the county equal to the amount of revenue generated by the rate imposed under section 2.7 of this chapter.

(D) If an ordinance described in section 2.8 of this chapter is in effect in a county, to make a distribution to the county equal to the amount of revenue generated by the rate imposed under section 2.8 of this chapter.

(E) If an ordinance described in section 2.9 of this chapter (before its repeal) is in effect in a county, to make a distribution to the county equal to the amount of revenue generated by the rate imposed under section 2.9 of this chapter.

(F) If an ordinance described in section 3.1 of this chapter (before its expiration) is in effect in a county, to make a distribution to the county equal to the amount of revenue generated by the rate imposed under section 3.1 of this



chapter.

(2) After making the distributions described in subdivision (1), if any, to make distributions to school corporations and civil taxing units in counties that formerly imposed a tax under IC 6-3.5-1.1 (repealed). The revenue categorized from the next twenty-five hundredths percent (0.25%) of the rate for a former tax adopted under IC 6-3.5-1.1 (repealed) shall be allocated to school corporations and civil taxing units. The amount of the allocation to a school corporation or civil taxing unit shall be determined using the allocation amounts for civil taxing units and school corporations in the county.

(3) After making the distributions described in subdivisions (1) and (2), the remaining revenue shall be treated as additional revenue (referred to as "additional revenue" in this chapter). Additional revenue may not be considered by the department of local government finance in determining:

(A) any taxing unit's maximum permissible property tax levy limit under IC 6-1.1-18.5; or

(B) the approved property tax rate for any fund.

(b) In the case of a civil taxing unit that has pledged the tax from additional revenue for the payment of bonds, leases, or other obligations as reported by the civil taxing unit under IC 5-1-18, the adopting body may not, under section 4 of this chapter, reduce the proportional allocation of the additional revenue that was allocated in the preceding year if the reduction for that year would result in an amount less than the amount necessary for the payment of bonds, leases, or other obligations payable or required to be deposited in a sinking fund or other reserve in that year for the bonds, leases, or other obligations for which the tax from additional revenue has been pledged. To inform an adopting body with regard to allocations that affect the payment of bonds, leases, or other obligations, a taxing unit may provide the adopting body with information regarding any outstanding bonds, leases, or other obligations that are secured by additional revenue. The information must be provided before the date of the public hearing at which the adopting body may change the allocation of additional revenue under section 4 of this chapter.

SECTION 18. IC 6-3.6-6-4, AS AMENDED BY P.L.68-2025, SECTION 126, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2027]: Sec. 4. (a) General purpose revenue raised from a tax rate under section 2(b)(1) of this chapter must be distributed directly to the county. The money may be used by the county fiscal body for any of the purposes of the county, including for:



- (1) public safety, including funding for a PSAP;
- (2) economic development purposes described in IC 6-3.6-10;
- (3) acute care hospitals;
- (4) correctional facilities and rehabilitation facilities; **and**
- (5) county staff expenses of the state judicial system. **and**
- (6) ~~homestead property tax credits to fund replacement of the county's property tax levy.~~

(b) **Subject to sections 3 and 5 of this chapter**, the adopting body shall, by ordinance, determine how general purpose revenue from a tax under this chapter must be allocated in subsequent years. The allocations are subject to IC 6-3.6-11. The ordinance must be adopted as provided in IC 6-3.6-3 and takes effect and applies as specified in IC 6-3.6-3-3. The ordinance continues to apply thereafter until it is rescinded or modified.

SECTION 19. IC 6-3.6-6-4.3, AS ADDED BY P.L.68-2025, SECTION 127, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2027]: Sec. 4.3. (a) Revenue raised from a tax rate for fire protection **and or** emergency medical services under section 2(b)(2) of this chapter shall be distributed by the county ~~to~~ **among the county and** each fire protection district, fire protection territory, and municipal fire department located within the county **that provides fire protection, emergency medical services, or both in the county. Except as provided in subsection (b),** at the discretion of the county council, the county may distribute revenue raised from a tax rate for fire protection **and or** emergency medical services under section 2(b)(2) of this chapter to township fire departments and volunteer fire departments **that provide fire protection, emergency medical services, or both in the county.**

(b) Revenue raised from a tax rate for fire protection and emergency medical services under section 2(b)(2) of this chapter shall be allocated ~~to each fire protection district, fire protection territory, municipal fire department, and, if applicable, township fire departments and volunteer fire departments, based on the following formula:~~

STEP ONE: For each provider of fire protection and emergency medical services located within the county that is eligible to receive revenue under this section, determine the population living within the service boundaries of the provider using the most recent federal decennial census.

STEP TWO: For each provider of fire protection and emergency medical services located within the county that is eligible to receive revenue under this section, determine the number of square miles within the service boundaries of the provider.



1 STEP THREE: For each provider of fire protection and
 2 emergency medical services located within the county that is
 3 eligible to receive revenue under this section; determine the
 4 product of:

5 (A) the STEP TWO amount; multiplied by

6 (B) twenty (20);

7 STEP FOUR: For each provider of fire protection and emergency
 8 medical services located within the county that is eligible to
 9 receive revenue under this section; determine the sum of:

10 (A) the STEP ONE result; plus

11 (B) the STEP THREE result.

12 STEP FIVE: Determine the sum total of the STEP FOUR results
 13 for each provider of fire protection and emergency medical
 14 services located within the county that is eligible to receive
 15 revenue under this section.

16 STEP SIX: The percentage of revenue that shall be distributed to
 17 each provider of fire protection and emergency medical services
 18 located within the county that is eligible to receive revenue under
 19 this section is equal to:

20 (A) the STEP FOUR result for the provider; divided by

21 (B) the STEP FIVE result.

22 (b) Subject to subsection (d), the county may determine the
 23 allocation method for revenue raised from a tax rate for fire
 24 protection or emergency medical services under section 2(b)(2) of
 25 this chapter. However, in determining the allocation method, the
 26 county shall, for each provider of fire protection, emergency
 27 medical services, or both in the county, consider the service
 28 boundaries of the provider and the population living within the
 29 service boundaries of the provider using the most recent federal
 30 decennial census.

31 (c) If at least fifty percent (50%) of fire runs made by a
 32 township fire department during the calendar year preceding by
 33 two (2) years the calendar year in which distribution amounts are
 34 being determined are carried out by full-time firefighters who
 35 receive a salary of at least thirty thousand dollars (\$30,000), the
 36 county shall distribute an allocation of revenue to the township fire
 37 department under this section.

38 (d) In the case of a county that provides fire protection,
 39 emergency medical services, or both in part of the county, but not
 40 the entire county, only the part of the county in which the county
 41 provides the fire protection, emergency medical services, or both
 42 are considered within the service boundaries for the county.



1 (e) For purposes of a distribution under this section, a
2 distribution to a:

3 (1) fire protection territory shall be made to the provider unit
4 of the fire protection territory; and

5 (2) volunteer fire department shall be made to the taxing unit
6 that is served by the volunteer fire department.

7 (f) If the population living within the service boundaries of a
8 provider cannot be determined using data from the United States
9 Census Bureau, the county may determine an estimated population
10 based on income tax returns that report a residence located within
11 the service boundaries of the provider. The county auditor shall
12 provide the estimated population to the department of local
13 government finance not later than July 15 of the calendar year that
14 precedes the calendar year before the year in which the
15 distribution is made. If the county auditor does not provide an
16 estimated population under this subsection, the department of local
17 government finance may use the most recent estimated population
18 provided by the county auditor or the department of state revenue.

19 SECTION 20. IC 6-3.6-6-4.5, AS AMENDED BY THE
20 TECHNICAL CORRECTIONS BILL OF THE 2026 GENERAL
21 ASSEMBLY, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
22 JULY 1, 2027]: Sec. 4.5. (a) Revenue raised from a tax rate for
23 nonmunicipal civil taxing units under section 2(b)(3) of this chapter
24 may be distributed by the county to nonmunicipal civil taxing units
25 subject to the provisions of this section.

26 (b) Subject to the maximum aggregate tax rate of not more than
27 two-tenths of one percent (0.2%) under section 2(b)(3) of this chapter,
28 the adopting body may adopt a tax rate for each type of nonmunicipal
29 civil taxing unit, which may not exceed more than five-hundredths of
30 one percent (0.05%) for any given unit type. The revenue raised from
31 a tax rate for a specific type of nonmunicipal civil taxing unit shall be
32 allocated to all nonmunicipal civil taxing units of that same type
33 located within the county on a pro rata per capita basis, subject to
34 ~~subsection (e): subsections (e) and (h).~~

35 (c) A county solid waste management district (as defined in
36 IC 13-11-2-47) or a joint solid waste management district (as defined
37 in IC 13-11-2-113) is not an eligible nonmunicipal civil taxing unit for
38 the purpose of receiving an allocation of general purpose revenue under
39 this chapter unless a majority of the members of each of the county
40 fiscal bodies of the counties within the district passes a resolution
41 approving the distribution.

42 (d) A resolution passed by a county fiscal body under subsection (c)



1 may:

- 2 (1) expire on a date specified in the resolution; or
 3 (2) remain in effect until the county fiscal body revokes or
 4 rescinds the resolution.

5 (e) A nonmunicipal civil taxing unit wishing to receive a share of
 6 revenue under this section in a year must adopt a resolution requesting
 7 the distribution from the county and must provide a certified copy of
 8 the resolution to the adopting body **and the state board of accounts**
 9 not later than July 1 of the year immediately preceding the distribution
 10 year. Not later than August 1 of the year immediately preceding the
 11 distribution year, the adopting body shall hold a public hearing on the
 12 resolution requesting the distribution and provide the public with
 13 notice of the time and place where the public hearing will be held. The
 14 notice must be given in accordance with IC 5-3-1 and include a
 15 description of the resolution requesting the distribution from the
 16 county.

17 (f) If a nonmunicipal civil taxing unit adopts a resolution under ~~this~~
 18 ~~subsection~~ **subsection (e)** and provides the resolution to the adopting
 19 body as set forth in ~~this that~~ subsection, the county shall distribute to
 20 the nonmunicipal civil taxing unit an amount of revenue raised from
 21 the tax rate under section 2(b)(3) of this chapter for the distribution
 22 year as set forth in subsection ~~(f):~~ **(g)**.

23 (g) If one (1) or more, but not all, nonmunicipal civil taxing units
 24 adopt a resolution under subsection (e) requesting a distribution in a
 25 given year, the county may either distribute the total amount of revenue
 26 raised from the tax rate under section 2(b)(3) of this chapter to only
 27 those nonmunicipal civil taxing units that have provided a resolution
 28 request, or the county may distribute the total amount of revenue raised
 29 from a tax rate under section 2(b)(3) of this chapter to all nonmunicipal
 30 civil taxing units as set forth in this section. If no nonmunicipal civil
 31 taxing units adopt a resolution to request a distribution in a given year,
 32 the county may retain the revenue raised from a tax rate for
 33 nonmunicipal civil taxing units for that year and use the revenue as
 34 general purpose revenue for the county under section 4 of this chapter.

35 **(h) If the population living within one (1) or more nonmunicipal**
 36 **civil taxing units cannot be determined using data from the United**
 37 **States Census Bureau, the county may determine an estimated**
 38 **population based on income tax returns that report a residence**
 39 **located within the boundaries of the nonmunicipal civil taxing**
 40 **units. The county auditor shall provide the estimated population to**
 41 **the department of local government finance no later than July 15**
 42 **of the calendar year that precedes the calendar year before the**



1 year in which the distribution is made. If the county auditor does
 2 not provide an estimated population under this subsection, the
 3 department of local government finance may use the most recent
 4 estimated population provided by the county auditor or the
 5 department of state revenue.

6 SECTION 21. IC 6-3.6-6-6.1, AS AMENDED BY THE
 7 TECHNICAL CORRECTIONS BILL OF THE 2026 GENERAL
 8 ASSEMBLY, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
 9 JULY 1, 2027]: Sec. 6.1. (a) Revenue raised from a tax rate for certain
 10 cities and towns under section 2(b)(4) of this chapter ~~may~~ **shall** be
 11 distributed by the county ~~to those cities and towns~~ subject to the
 12 provisions of this section **and according to the following formula:**

13 **STEP ONE: Determine the population of each city and town**
 14 **located in the county, excluding the population of any**
 15 **municipality that imposed a local income tax under section 22**
 16 **of this chapter.**

17 **STEP TWO: Determine the aggregate sum of the STEP ONE**
 18 **results.**

19 **STEP THREE: Determine the sum of:**

20 (A) the STEP TWO result; plus

21 (B) the population of the unincorporated area of the
 22 county.

23 **STEP FOUR: Divide the STEP TWO result by the STEP**
 24 **THREE result.**

25 **STEP FIVE: Multiply the STEP FOUR result by one and**
 26 **five-tenths (1.5), expressed as a percentage.**

27 **STEP SIX: Multiple the STEP FIVE result by the total**
 28 **amount of revenue raised from the tax rate imposed under**
 29 **section 2(b)(4) of this chapter.**

30 **STEP SEVEN: For each city and town located in the county**
 31 **that adopted a resolution under subsection (d) for the year,**
 32 **excluding any municipality that imposed a local income tax**
 33 **under section 22 of this chapter, divide:**

34 (A) the STEP ONE result for the city or town; by

35 (B) the STEP TWO result.

36 **STEP EIGHT: To determine the amount to be allocated to**
 37 **each city and town located in the county that adopted a**
 38 **resolution under subsection (d) for the year, excluding any**
 39 **municipality that imposed a local income tax under section 22**
 40 **of this chapter, multiply:**

41 (A) the STEP SEVEN result for the city or town; by

42 (B) the STEP SIX result.



1 **STEP NINE: Determine the aggregate sum of the STEP**
 2 **EIGHT results for each city and town located in the county**
 3 **that adopted a resolution under subsection (d) for the year,**
 4 **excluding any municipality that imposed a local income tax**
 5 **under section 22 of this chapter.**

6 **STEP TEN: Determine the result of:**

7 (A) the total amount of revenue raised from the tax rate
 8 imposed under section 2(b)(4) of this chapter; minus

9 (B) the STEP SIX result.

10 **STEP ELEVEN: Determine the result of:**

11 (A) the STEP SIX result; minus

12 (B) the STEP NINE result.

13 **STEP TWELVE: To determine the amount to be allocated to**
 14 **the county, determine the sum of:**

15 (A) the STEP TEN result; plus

16 (B) the STEP ELEVEN result.

17 (b) Subject to subsection (g), the revenue raised from a tax rate
 18 under section 2(b)(4) of this chapter shall be allocated to the cities and
 19 towns based on the population of the city or the population of the town;
 20 whichever is applicable; compared to the population of all the cities or
 21 the population of all the towns; whichever is applicable; that are
 22 eligible for a distribution, ~~subject to subsection (d).~~ For purposes of this
 23 determination, ~~section~~, if the boundaries of a city or town are located
 24 in more than one (1) county, only the portion of the population of the
 25 city or town that is located within the county imposing the tax rate
 26 under section 2(b)(4) of this chapter shall be considered.

27 (c) The money may be used by the city or town fiscal body for any
 28 of the purposes of the city or town, including public safety (as defined
 29 in IC 6-3.6-2-14) and economic development purposes described in
 30 IC 6-3.6-10. The city or town fiscal body may pledge its general
 31 purpose revenue to the payment of bonds or to lease payments as set
 32 forth in this chapter.

33 (d) An eligible city or town wishing to receive a share of revenue
 34 under this section in a year must adopt a resolution requesting the
 35 distribution from the county and must provide a certified copy of the
 36 resolution to the adopting body **and the state board of accounts** not
 37 later than July 1 of the year immediately preceding the distribution
 38 year. Not later than August 1 of the year immediately preceding the
 39 distribution year, the adopting body shall hold a public hearing on the
 40 resolution requesting the distribution and provide the public with
 41 notice of the time and place where the public hearing will be held. The
 42 notice must be given in accordance with IC 5-3-1 and include a



description of the resolution requesting the distribution from the county.

(e) ~~Subject to subsection (g);~~ If an eligible city or town adopts a resolution under ~~this subsection (d)~~ and provides the resolution to the adopting body as set forth in ~~this subsection (d)~~, the county shall distribute to the eligible city or town unit an amount of revenue raised from the tax rate under section 2(b)(4) of this chapter for the distribution year as set forth in subsection ~~(f)~~: **(a). If no eligible city or town adopts a resolution to request a distribution in a given year, the county may retain all of the revenue raised from a tax rate for that year.**

(f) The county may use any money received under this section for the purposes described in section 4 of this chapter.

~~(f) Subject to subsection (g); if one (1) or more, but not all, eligible cities or towns adopt a resolution under subsection (d) requesting a distribution in a given year, the county may either distribute the total amount of revenue raised from the tax rate under section 2(b)(4) of this chapter to only those eligible cities or towns that have provided a resolution request; or the county may distribute the total amount of revenue raised from a tax rate under section 2(b)(4) of this chapter to all eligible cities or towns as set forth in this section. If no eligible city or town adopts a resolution to request a distribution in a given year, the county may retain the revenue raised from a tax rate for the eligible city or town for that year and use the revenue as general purpose revenue for the county under section 4 of this chapter.~~

(g) Notwithstanding any provision to the contrary in this section, if an adopting body that imposes a tax rate of one and two-tenths percent (1.2%) under section 2(b)(1) of this chapter subsequently adopts an ordinance to concurrently impose a tax rate under section 2(b)(4) of this chapter:

(1) seventy-five percent (75%) of the revenue received from the tax rate imposed under section 2(b)(4) of this chapter shall be retained by the county and may be used for the purposes described in section 4 of this chapter; and

(2) twenty-five percent (25%) of the revenue received from the tax rate imposed under section 2(b)(4) of this chapter shall be distributed among the eligible cities and towns as set forth in this section and may be used for the purposes set forth in this section.

However, the adopting body may, by ordinance, determine to allocate any percentage of the revenue that would otherwise be retained by the county under subdivision (1) to instead be allocated among the eligible cities and towns under subdivision (2):



SECTION 22. IC 6-3.6-6-22, AS ADDED BY P.L.68-2025,
SECTION 147, IS AMENDED TO READ AS FOLLOWS
[EFFECTIVE JULY 1, 2027]: Sec. 22. (a) As used in this section,
"municipality" means only a city or town that:

(1) has a population of three thousand five hundred (3,500) or more; and

(2) in the case of a city or town whose population decreased in the most recent federal decennial census from three thousand five hundred (3,500) or more to less than three thousand five hundred (3,500), has elected by ordinance to continue to use its previous population of three thousand five hundred (3,500) or more as set forth in section 23(b)(2) of this chapter for purposes of the allocation determination under section 6.1 of this chapter.

The term does not include a city or town that has made an election under section 23(b)(3) of this chapter **for purposes of a county local income tax rate and distribution of revenue from the tax rate in the years before January 1, 2033.**

(b) Beginning after December 31, 2027, **and except as provided by section 24 of this chapter**, the fiscal body of a municipality may by ordinance and subject to subsection (e), impose a local income tax rate on the adjusted gross income of local taxpayers in the municipality that does not exceed one and two-tenths percent (1.2%).

(c) The following apply if a municipality imposes a local income tax rate under this section:

(1) A local income tax rate imposed by a municipality under this section applies only to local taxpayers within the territory of the municipality.

(2) The local income tax is imposed in addition to a tax imposed by the county in which the municipality is located in accordance with IC 6-3.6-4-1(a) and IC 6-3.6-4-1(c).

(3) The following provisions of this article apply to a local income tax rate imposed by a municipality under subsection (b):

(A) IC 6-3.6-3 (adoption of the tax), including the effective date of an ordinance under IC 6-3.6-3-3.3.

(B) IC 6-3.6-4 (imposition of the tax), except that IC 6-3.6-4-2 and IC 6-3.6-4-3 do not apply.

(C) IC 6-3.6-8 (administration of the tax).

(4) A local income tax rate imposed by a municipality shall apply to ~~professional athletes who compete in the municipality, unless exempted under IC 6-3-2-27.5 or other provision of law: team members and race team members described in~~ **IC 6-3.6-2-13(3) on the income derived from services**



1 **performed as a team member or race team member in the**
 2 **municipality.**

3 (d) The amount of the tax revenue that is from the local income tax
 4 rate imposed under this section and that is collected for a calendar year
 5 shall be treated as general purpose revenue and must be distributed to
 6 the fiscal officer of the municipality that imposed the tax before July 1
 7 of the next calendar year.

8 (e) ~~Beginning after December 31, 2030,~~ A tax rate imposed under
 9 subsection (b) ~~shall expire~~ **expires** on December 31, **2029, and on**
 10 **December 31** of ~~each every fourth~~ **each every fourth** calendar year ~~thereafter.~~ A
 11 municipality wishing to continue, increase, or decrease a tax rate ~~in~~ **for**
 12 the succeeding **four (4) year cycle** must pass an ordinance to readopt
 13 a tax rate in accordance with IC 6-3.6-3-3.3. **However, if there are**
 14 **bonds, leases, or other obligations payable from a tax imposed**
 15 **under subsection (b) that remain outstanding and the municipality**
 16 **fails to adopt an ordinance to continue the expenditure tax rate**
 17 **under this subsection, the expenditure tax rate for the municipality**
 18 **for the succeeding four (4) year cycle, or until the maturity date of**
 19 **those debt obligations, whichever is sooner, shall be the minimum**
 20 **tax rate necessary to produce one and twenty-five hundredths**
 21 **(1.25) times the sum of:**

22 (1) the highest annual outstanding debt service;

23 (2) the highest annual lease payments; and

24 (3) any amount required under the agreements for the bonds
 25 or leases to be deposited in a sinking fund or other reserve;

26 **for each year of the four (4) year cycle. Subject to IC 6-3.6-4-3, a**
 27 **municipality wishing to increase or decrease a tax rate during a**
 28 **four (4) year cycle must pass an ordinance to increase or decrease**
 29 **the tax rate in accordance with IC 6-3.6-3-3.3. This subsection**
 30 **applies regardless of whether there is a modification in the tax rate or**
 31 **the rate is unchanged from the previous year.**

32 (f) **A municipality that imposes a local income tax rate under**
 33 **this section shall work with the county to provide the geographic**
 34 **information prescribed by the state GIS officer to the state GIS**
 35 **officer. The required information must be submitted to the state**
 36 **GIS officer in the manner prescribed by the state GIS officer not**
 37 **later than August 1 each year.**

38 SECTION 23. IC 6-3.6-6-22.5 IS ADDED TO THE INDIANA
 39 CODE AS A NEW SECTION TO READ AS FOLLOWS
 40 [EFFECTIVE JULY 1, 2027]: **Sec. 22.5. (a) This section applies only**
 41 **to a municipality that has adopted an ordinance to impose a tax**
 42 **rate of one and two-tenths percent (1.2%) in the municipality**



1 under section 22 of this chapter.

2 (b) As used in this section, "municipality" has the meaning set
3 forth in section 22(a) of this chapter.

4 (c) As used in this section, "unused rate capacity" refers to the
5 difference between one and two-tenths percent (1.2%) and the tax
6 rate adopted by a county under section 2(b)(1) of this chapter for
7 a year.

8 (d) Subject to subsection (e) and IC 6-3.6-3-3.5, if:

9 (1) a municipality adopts an ordinance to impose a local
10 income tax rate of one and two-tenths percent (1.2%) for a
11 year under section 22 of this chapter; and

12 (2) the county in which the municipality is located adopts an
13 ordinance to impose a local income tax rate that is less than
14 one and two-tenths percent (1.2%) for the same year under
15 section 2(b)(1) of this chapter;

16 the fiscal body of the municipality may by ordinance, and subject
17 to subsection (g), impose an additional local income tax rate on the
18 adjusted gross income of local taxpayers in the municipality that
19 does not exceed a rate equal to the unused rate capacity.

20 (e) In the case of a municipality with territory located in more
21 than one (1) county with unused rate capacity, the municipality
22 may impose an additional local income tax rate under subsection
23 (d) that does not exceed a rate equal to the lowest unused rate
24 capacity available among the counties in which the municipality
25 has territory.

26 (f) The following apply if a municipality imposes a local income
27 tax rate under this section:

28 (1) A local income tax rate imposed by a municipality under
29 this section applies only to local taxpayers within the territory
30 of the municipality and is imposed in the same territory in
31 which the local income tax rate is imposed under section 22 of
32 this chapter.

33 (2) The local income tax is imposed in addition to a tax
34 imposed by:

35 (A) the county in which the municipality is located in
36 accordance with IC 6-3.6-4-1(a) and IC 6-3.6-4-1(c); and

37 (B) the municipality under section 22 of this chapter.

38 (3) The following provisions of this article apply to a local
39 income tax rate imposed by a municipality under subsection
40 (d):

41 (A) IC 6-3.6-3 (adoption of the tax), including the effective
42 date of an ordinance under IC 6-3.6-3-3.5.



(B) IC 6-3.6-4 (imposition of the tax), except that IC 6-3.6-4-2 and IC 6-3.6-4-3 do not apply.

(C) IC 6-3.6-8 (administration of the tax).

(4) A local income tax rate imposed by a municipality shall apply to team members and race team members described in IC 6-3.6-2-13(3) on the income derived from services performed as a team member or race team member in the municipality.

(g) The amount of the tax revenue that is from the local income tax rate imposed under this section and that is collected for a calendar year shall be treated as general purpose revenue and must be distributed to the fiscal officer of the municipality that imposed the tax before July 1 of the next calendar year. A municipality may not use revenue received from the local income tax rate imposed under this section:

(1) as a pledge of money for the payment of bonds, leases, or other obligations; or

(2) to pay debt service on outstanding bonds, leases, or other obligations.

(h) A local income tax rate imposed by a municipality under this section expires on December 31 of each calendar year. Subject to the unused rate capacity, a municipality wishing to continue, increase, or decrease a local income tax rate under this section in a succeeding year must pass an ordinance to readopt the tax rate in accordance with IC 6-3.6-3-3.5, if unused rate capacity exists.

SECTION 24. IC 6-3.6-6-23, AS ADDED BY P.L.68-2025, SECTION 148, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2027]: Sec. 23. (a) This section applies in determining the population of a city or town for the purposes of this chapter.

(b) The following apply:

(1) Except as provided in subdivisions (2) and (3), the population of a city or town is the population of the city or town that is reported by the 2020 federal decennial census.

(2) Beginning after 2030; **2032**, if the population of a city or town (A) increases from a population of less than three thousand five hundred (3,500); as reported by the immediately preceding federal decennial census; to a population of three thousand five hundred (3,500) or more, as reported by the most recent federal decennial census; or, if applicable, any corrected population count (as defined in IC 1-1-3.5-1.5) issued for the city or town in the year succeeding the most



1 recent federal decennial census; or
 2 ~~(B)~~ decreases from a population of three thousand five
 3 hundred (3,500) or more, as reported by the immediately
 4 preceding federal decennial census, to a population of less
 5 than three thousand five hundred (3,500), as reported by the
 6 most recent federal decennial census, or, if applicable, any
 7 corrected population count (as defined in IC 1-1-3.5-1.5)
 8 issued for the city or town in the year succeeding the most
 9 recent federal decennial census,
 10 the fiscal body of the city or town may adopt an ordinance on or
 11 before September 1 of the calendar year ~~immediately succeeding~~
 12 **two (2) years after** the most recent federal decennial census to
 13 continue to use the population of the city or town as reported by
 14 the immediately preceding federal decennial census and the
 15 resulting determination for the city or town under section 22 of
 16 this chapter, notwithstanding the increase or decrease in its
 17 population as reported by the most recent federal decennial
 18 census as described in this subdivision. An ordinance adopted
 19 under this subdivision shall take effect on January 1 of the
 20 calendar year that immediately succeeds the year in which the
 21 ordinance is adopted. The fiscal officer of the city or town shall
 22 provide a certified copy of an ordinance adopted under this
 23 subdivision to the department of local government finance.
 24 (3) This subdivision applies only:
 25 **(A) for purposes of a county local income tax rate and**
 26 **distribution of revenue from the tax rate in the years**
 27 **before 2033; and**
 28 **(B) to cities and towns with a population of ~~more than~~ three**
 29 **thousand five hundred (3,500) or more but less than seven**
 30 **thousand (7,000).**
 31 Notwithstanding any other provision, a fiscal body of a city or
 32 town may adopt an ordinance to elect to be treated as if the city's
 33 or town's population is less than three thousand five hundred
 34 (3,500) for purposes of a county local income tax rate and
 35 distribution under this chapter. An ordinance adopted under this
 36 subdivision shall take effect on January 1 of the calendar year that
 37 immediately succeeds the year in which the ordinance is adopted.
 38 The fiscal officer of the city or town shall provide a certified copy
 39 of an ordinance adopted under this subdivision to the department
 40 of local government finance. An ordinance adopted by a city or
 41 town under this subdivision is not revocable and shall ~~not expire~~
 42 **following the next federal decennial census: expire December**



1 **31, 2032.**

2 SECTION 25. IC 6-3.6-6-24 IS ADDED TO THE INDIANA CODE
3 AS A **NEW** SECTION TO READ AS FOLLOWS [EFFECTIVE JULY
4 1, 2027]: **Sec. 24. (a) A municipality that adopts an ordinance to**
5 **impose a local income tax rate on the adjusted gross income of**
6 **local taxpayers in the municipality under section 22 or 22.5 of this**
7 **chapter may impose the local income tax rate on taxpayers only in**
8 **a taxing district in which the municipality also imposes a property**
9 **tax rate that is subject to IC 6-1.1-17-5.**

10 **(b) If:**

11 **(1) a local income tax rate under section 22 or 22.5 of this**
12 **chapter may not be imposed in a particular taxing district in**
13 **the municipality pursuant to subsection (a); and**

14 **(2) the county in which the taxing district described in**
15 **subdivision (1) is located imposes a local income tax rate**
16 **under section 2(b)(4) of this chapter;**

17 **notwithstanding section 2(d) of this chapter, the county may**
18 **impose the local income tax rate under section 2(b)(4) of this**
19 **chapter on the adjusted gross income of local taxpayers in the**
20 **taxing district described in subdivision (1). However, an individual**
21 **is still considered a resident of the municipality for purposes of**
22 **section 23 of this chapter.**

23 SECTION 26. IC 6-3.6-7-0.5 IS ADDED TO THE INDIANA
24 CODE AS A **NEW** SECTION TO READ AS FOLLOWS
25 [EFFECTIVE JANUARY 1, 2028]: **Sec. 0.5. For taxable years**
26 **beginning after December 31, 2027, a tax rate imposed by a county**
27 **under this chapter may be imposed on a local taxpayer only if the**
28 **county could impose the tax rates in IC 6-3.6-6-2(b)(1) through**
29 **IC 6-3.6-6-2(b)(3) on the local taxpayer.**

30 SECTION 27. IC 6-3.6-7-27, AS AMENDED BY P.L.197-2016,
31 SECTION 63, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
32 JANUARY 1, 2028]: **Sec. 27. (a) This section applies only to an**
33 **eligible county, as defined in IC 8-25-1-4.**

34 **(b) If the voters of the county approve a local public question under**
35 **IC 8-25-2, the fiscal body of the county may adopt an ordinance to**
36 **provide for the use of local income tax revenues attributable to an**
37 **additional tax rate imposed under IC 6-3.6-6 to fund a public**
38 **transportation project under IC 8-25. However, a county fiscal body**
39 **shall adopt an ordinance under this subsection if required by**
40 **IC 8-25-6-10 to impose an additional tax rate on the county taxpayers**
41 **(as defined in IC 8-24-1-10) who reside in a township in which the**
42 **voters approve a public transportation project in a local public question**



held under IC 8-25-6. An ordinance adopted under this subsection must specify an additional tax rate to be imposed in the county (or township in the case of an additional rate required by IC 8-25-6-10) of at least one-tenth percent (0.1%), but not more than twenty-five hundredths percent (0.25%). If an ordinance is adopted under this subsection, the amount of the certified distribution attributable to the additional tax rate imposed under this subsection must be:

- (1) retained by the county auditor;
- (2) deposited in the county public transportation project fund established under IC 8-25-3-7; and
- (3) used for the purpose provided in this subsection instead of as a property tax replacement distribution.

(c) The tax rate under this section ~~plus the tax rate under IC 6-3.6-6~~ **may not exceed the tax rate may not be considered for purposes of determining the maximum allowable tax rate** specified in IC 6-3.6-6-2.

SECTION 28. IC 6-3.6-8-3, AS ADDED BY P.L.243-2015, SECTION 10, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 3. (a) For purposes of this article, an individual shall be treated as a resident of the county in which the individual:

- (1) maintains a home, if the individual maintains only one (1) home in Indiana;
- (2) if subdivision (1) does not apply, is registered to vote;
- (3) if subdivision (1) or (2) does not apply, registers the individual's personal automobile; or
- (4) spent ~~the majority~~ **more** of the individual's time in Indiana during the taxable year in question **compared to any other county**, if subdivision (1), (2), or (3) does not apply.

(b) The residence or principal place of business or employment of an individual is to be determined on January 1 of the calendar year in which the individual's taxable year commences. If an individual changes the location of the individual's residence or principal place of employment or business to another county in Indiana during a calendar year, the individual's liability for tax is not affected.

(c) Notwithstanding subsection (b), if an individual becomes a local taxpayer for purposes of IC 36-7-27 during a calendar year because the individual:

- (1) changes the location of the individual's residence to a county in which the individual begins employment or business at a qualified economic development tax project (as defined in IC 36-7-27-9); or
- (2) changes the location of the individual's principal place of



employment or business to a qualified economic development tax project and does not reside in another county in which a tax is in effect;

the individual's adjusted gross income attributable to employment or business at the qualified economic development tax project is taxable only by the county containing the qualified economic development tax project.

SECTION 29. IC 6-3.6-8-3, AS AMENDED BY P.L.68-2025, SECTION 151, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JANUARY 1, 2028]: Sec. 3. (a) For purposes of this article, an individual shall be treated as a resident of the county (or the municipality in the case of a local income tax imposed under IC 6-3.6-6-22) in which the individual:

- (1) maintains a home, if the individual maintains only one (1) home in Indiana;
- (2) if subdivision (1) does not apply, is registered to vote;
- (3) if subdivision (1) or (2) does not apply, registers the individual's personal automobile; or
- (4) spent ~~the majority~~ **more** of the individual's time in Indiana during the taxable year in question **compared to any other county**, if subdivision (1), (2), or (3) does not apply.

(b) The residence of an individual is to be determined on January 1 of the calendar year in which the individual's taxable year commences. If an individual changes the location of the individual's residence to another county (or municipality in the case of a local income tax imposed under IC 6-3.6-6-22) in Indiana during a calendar year, the individual's liability for tax is not affected.

(c) Notwithstanding subsection (b), if an individual becomes a local taxpayer for purposes of IC 36-7-27 during a calendar year because the individual changes the location of the individual's residence to a county or municipality in which the individual begins employment or business at a qualified economic development tax project (as defined in IC 36-7-27-9), the individual's adjusted gross income attributable to employment or business at the qualified economic development tax project is taxable only by the county or municipality containing the qualified economic development tax project.

(d) In determining residency for purposes of a local income tax imposed under IC 6-3.6-6-2(b)(4), IC 6-3.6-6-22, or IC 6-3.6-6-22.5, the following apply:

- (1) The criteria in subsection (a)(1) through (a)(4) must be applied to municipalities and the parts of a county in which the county may impose a tax rate under IC 6-3.6-6-2(b)(4).**



(2) If an individual meets the criteria in subsection (a)(1) through (a)(3) for an area in the county in which the county may impose a tax rate under IC 6-3.6-6-2(b)(4), the individual is considered a resident of that area of the county and is subject to a tax rate imposed under IC 6-3.6-6-2(b)(4).

(3) If an individual is a resident of the county pursuant to subsection (a)(4), the:

(A) time spent in all areas within the county in which the county may impose a tax rate under IC 6-3.6-6-2(b)(4) shall be aggregated; and

(B) determination of the individual's residence within the county shall be determined solely by the time spent in the municipality (or part of the county) and the parts of a county in which the county may impose a tax rate under IC 6-3.6-6-2(b)(4).

SECTION 30. IC 6-3.6-8-6, AS ADDED BY P.L.243-2015, SECTION 10, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JANUARY 1, 2028]: Sec. 6. (a) Except as provided in subsection (b), if for a particular taxable year a local taxpayer is liable for an income tax imposed by a county, city, town, or other local governmental entity located outside Indiana, that local taxpayer is entitled to a credit against the tax liability imposed under this article for that same taxable year. The amount of the credit equals the amount of tax imposed by the other governmental entity on income derived from sources outside Indiana and subject to the tax imposed under this article. However, the credit provided by this section may not reduce a local taxpayer's tax liability to an amount less than would have been owed if the income subject to taxation by the other governmental entity had been ignored.

(b) The credit provided by this section does not apply to a local taxpayer to the extent that the other governmental entity provides for a credit to the taxpayer for the amount of taxes owed under this article.

(c) To claim the credit provided by this section, a local taxpayer must provide the department with satisfactory evidence that the taxpayer is entitled to the credit.

(d) For taxable years beginning after December 31, 2027, the credit provided by this section applies to a local taxpayer if the local taxpayer is a team member or race team member and is subject to a local income tax imposed by a local government entity that is located outside Indiana.

SECTION 31. IC 6-3.6-8-7, AS ADDED BY P.L.243-2015, SECTION 10, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JANUARY 1, 2028]: Sec. 7. In the case of a local taxpayer who is a



1 resident of Perry County, **or a resident of a municipality located in**
 2 **Perry County in the case of a local income tax imposed under**
 3 **IC 6-3.6-6-22 or IC 6-3.6-6-22.5**, the term "adjusted gross income"
 4 does not include adjusted gross income that is:

5 (1) earned in a county that is:

6 (A) located in another state; and

7 (B) adjacent to the county in which the taxpayer resides; and

8 (2) subject to an income tax imposed by a county, city, town, or
 9 other local governmental entity in the other state.

10 SECTION 32. IC 6-3.6-9-5, AS AMENDED BY P.L.68-2025,
 11 SECTION 158, IS AMENDED TO READ AS FOLLOWS
 12 [EFFECTIVE JULY 1, 2027]: Sec. 5. (a) Before October 1 of each
 13 calendar year, the budget agency shall certify to the department of local
 14 government finance and the county auditor of each adopting county the
 15 amount determined under sections 4 and 4.1 of this chapter. The
 16 amount certified is the county's certified distribution for the
 17 immediately succeeding calendar year. The amount certified shall be
 18 adjusted, as necessary, under sections 6 and 7 of this chapter. Subject
 19 to subsection (b), not later than thirty (30) days after receiving the
 20 amount of the certified distribution, the department of local
 21 government finance shall determine for each taxing unit and notify the
 22 county auditor of the certified amount that will be distributed to the
 23 taxing unit under this chapter during the ensuing calendar year. Not
 24 later than thirty (30) days after receiving the department's estimate, the
 25 county auditor shall notify each taxing unit of the certified amounts for
 26 the taxing unit.

27 (b) This subsection applies to Lake County. When the department
 28 of local government finance notifies the county auditor of the certified
 29 amount that will be distributed to the taxing unit under this chapter
 30 during the ensuing calendar year, the department of local government
 31 finance shall also determine the amount of general purpose revenue
 32 allocated for economic development purposes that will be distributed
 33 to each civil taxing unit, reduced by an amount that is equal to the
 34 following percentages of the tax revenue that would otherwise be
 35 allocated for economic development purposes and distributed to the
 36 civil taxing unit:

37 (1) For Lake County, an amount equal to twenty-five percent
 38 (25%).

39 (2) For Crown Point, an amount equal to ten percent (10%).

40 (3) For Dyer, an amount equal to fifteen percent (15%).

41 (4) For Gary, an amount equal to seven and five-tenths percent
 42 (7.5%).



- (5) For Hammond, an amount equal to fifteen percent (15%).
- (6) For Highland, an amount equal to twelve percent (12%).
- (7) For Hobart, an amount equal to eighteen percent (18%).
- (8) For Lake Station, an amount equal to twenty percent (20%).
- (9) For Lowell, an amount equal to fifteen percent (15%).
- (10) For Merrillville, an amount equal to twenty-two percent (22%).
- (11) For Munster, an amount equal to thirty-four percent (34%).
- (12) For New Chicago, an amount equal to one percent (1%).
- (13) For Schererville, an amount equal to ten percent (10%).
- (14) For Schneider, an amount equal to twenty percent (20%).
- (15) For Whiting, an amount equal to twenty-five percent (25%).
- (16) For Winfield, an amount equal to fifteen percent (15%).

The department of local government finance shall notify the county auditor of the remaining amounts to be distributed and the amounts of the reductions that will be withheld under IC 6-3.6-11-5.5.

(c) This subsection applies to a distribution under IC 6-3.6-4.3 of tax revenue raised from a local income tax rate for fire protection and emergency medical services. Before the department of local government finance may certify a distribution, each provider of fire protection and emergency medical services located within a county shall certify to the department of local government finance the boundaries of the service area within the county served by the provider. If a provider does not certify the provider's service area to the department of local government finance, the department of local government finance shall use the most recent certified net assessed valuation submitted by the county auditor pursuant to IC 6-1.1-17-1 for the taxing unit served by the provider to determine the service boundaries for the provider. For purposes of this subsection, the service boundaries of a provider may not include any area served under a mutual aid agreement.

SECTION 33. IC 36-4-3-19, AS AMENDED BY P.L.104-2022, SECTION 160, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 19. (a) If disannexation is ordered under this chapter by the works board of a municipality and no appeal is taken, the clerk of the municipality shall, without compensation and not later than ten (10) days after the order is made, make and certify a complete transcript of the disannexation proceedings to the auditor of each county in which the disannexed lots or lands lie and to the office of the secretary of state. The county auditor shall list those lots or lands appropriately for taxation. The proceedings of the works board shall not be certified to the county auditor or to the office of the secretary of



1 state if an appeal to the circuit court has been taken.

2 (b) In all proceedings begun in or appealed to the circuit court, if
3 vacation or disannexation is ordered, the clerk of the court shall
4 immediately after the judgment of the court, or after a decision on
5 appeal to the supreme court or court of appeals if the judgment on
6 appeal is not reversed, certify the judgment of the circuit court, as
7 affirmed or modified, to each of the following:

8 (1) The auditor of each county in which the lands or lots affected
9 lie, on receipt of one dollar (\$1) for the making and certifying of
10 the transcript from the petitioners for the disannexation.

11 (2) The office of the secretary of state.

12 (3) The circuit court clerk of each county in which the lands or
13 lots affected are located.

14 (4) The county election board of each county in which the lands
15 or lots affected are located.

16 (5) If a board of registration exists, the board of each county in
17 which the lands or lots affected are located.

18 (6) The office of census data established by IC 2-5-1.1-12.2.

19 (c) The county auditor shall forward a list of lots or lands
20 disannexed under this section to the following:

21 (1) The county highway department of each county in which the
22 lands or lots affected are located.

23 (2) The county surveyor of each county in which the lands or lots
24 affected are located.

25 (3) Each plan commission, if any, that lost or gained jurisdiction
26 over the disannexed territory.

27 (4) The township trustee of each township that lost or gained
28 jurisdiction over the disannexed territory.

29 (5) The sheriff of each county in which the lands or lots affected
30 are located.

31 (6) The office of the secretary of state.

32 (7) The office of census data established by IC 2-5-1.1-12.2.

33 (8) The department of local government finance, not later than
34 August 1, in the manner described by the department.

35 **(9) The state GIS officer (as defined in IC 4-23-7.3-10), not**
36 **later than August 1, in the manner prescribed by the state**
37 **GIS officer (as defined in IC 4-23-7.3-10).**

38 The county auditor may require the clerk of the municipality to furnish
39 an adequate number of copies of the list of disannexed lots or lands or
40 may charge the clerk a fee for photoreproduction of the list.

41 (d) A disannexation described by this section takes effect upon the
42 clerk of the municipality filing the order with:



(1) the county auditor of each county in which the annexed territory is located; and

(2) the circuit court clerk, or if a board of registration exists, the board of each county in which the annexed territory is located.

(e) The clerk of the municipality shall notify the office of the secretary of state and the office of census data established by IC 2-5-1.1-12.2 of the date a disannexation is effective under this chapter.

SECTION 34. IC 36-4-3-22, AS AMENDED BY P.L.38-2021, SECTION 84, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 22. (a) The clerk of the municipality shall file:

(1) each annexation ordinance against which:

(A) a remonstrance or an appeal has not been filed during the period permitted under this chapter; or

(B) a remonstrance was filed without a sufficient number of signatures to meet the requirements of section 11.3(c) of this chapter, in the case of an annexation for which an annexation ordinance was adopted after June 30, 2015; or

(2) the certified copy of a final and unappealable judgment ordering an annexation to take place;

with the county auditor, circuit court clerk, and board of registration (if a board of registration exists) of each county in which the annexed territory is located, the office of the secretary of state, and the office of census data established by IC 2-5-1.1-12.2. The clerk of the municipality shall record each annexation ordinance adopted under this chapter in the office of the county recorder of each county in which the annexed territory is located.

(b) The ordinance or judgment must be filed and recorded no later than ninety (90) days after:

(1) the expiration of the period permitted for a remonstrance or appeal;

(2) the delivery of a certified order under section 15 of this chapter; or

(3) the date the county auditor files the written certification with the legislative body under section 11.2 of this chapter, in the case of an annexation described in subsection (a)(1)(B).

(c) Failure to record the annexation ordinance as provided in subsection (a) does not invalidate the ordinance.

(d) The county auditor shall forward a copy of any annexation ordinance filed under this section to the following:

(1) The county highway department of each county in which the lots or lands affected are located.



(2) The county surveyor of each county in which the lots or lands affected are located.

(3) Each plan commission, if any, that lost or gained jurisdiction over the annexed territory.

(4) The sheriff of each county in which the lots or lands affected are located.

(5) The township trustee of each township that lost or gained jurisdiction over the annexed territory.

(6) The office of the secretary of state.

(7) The office of census data established by IC 2-5-1.1-12.2.

(8) The department of local government finance, not later than August 1, in the manner described by the department.

(9) The state GIS officer (as defined in IC 4-23-7.3-10), not later than August 1, in the manner prescribed by the state GIS officer (as defined in IC 4-23-7.3-10).

(e) The county auditor may require the clerk of the municipality to furnish an adequate number of copies of the annexation ordinance or may charge the clerk a fee for photoreproduction of the ordinance. The county auditor shall notify the office of the secretary of state and the office of census data established by IC 2-5-1.1-12.2 of the date that the annexation ordinance is effective under this chapter.

(f) The county auditor or county surveyor shall, upon determining that an annexation ordinance has become effective under this chapter, indicate the annexation upon the property taxation records maintained in the office of the auditor or the office of the county surveyor.

SECTION 35. [EFFECTIVE JULY 1, 2026] **(a) IC 6-3.6-6-3 was amended by P.L.137-2024, SECTION 9, effective July 1, 2024, until July 1, 2027, and by P.L.68-2025, SECTION 124, effective July 1, 2027. The general assembly recognizes that this act amends, effective July 1, 2026, the version of IC 6-3.6-6-3 amended by P.L.137-2024, SECTION 9. The general assembly intends for the version of IC 6-3.6-6-3:**

(1) as amended by this act, to expire July 1, 2027; and

(2) as amended by P.L.68-2025, SECTION 124, to take effect July 1, 2027.

(b) This SECTION expires December 31, 2027.

